

IOUBI - Frequently Asked Questions

1. Fundamentals & The Deltar Currency

What is a Deltar, and how is its value set?

The Deltar is a zero-interest unit of economic account representing a proxy for human time. Rather than being pegged to an arbitrary gold standard or fiat decree, the global purchasing value of the Deltar is anchored by averaging everyone's collective psychological conversion rate of what they value their personal labor time at. While prices of goods remain standardized globally (e.g., a loaf of bread costs 2 Deltars), individuals decide how much of their own time it takes to earn those two Deltars.

Why don't prices constantly inflate like in today's economy?

In today's system, money is created as bank debt carrying compound interest, creating a 40% hidden overhead built into all retail prices. IOUBI eliminates compound interest completely. Furthermore, currency is only created when an individual or business overdrafts to clear trade, and it is permanently destroyed when debt is repaid back to the system. Without interest drag or unbacked currency floods, prices naturally trend down toward their true productive cost.

2. Personal Credit & The Credit Overuse Valve

How is my Personal Credit Limit (PCL) calculated?

Your PCL is calculated dynamically every day based on four core factors:

1. **Inequality Base Floor:** Automatically expands for everyone if global wealth concentrates at the top.
2. **Regional Living Index:** Adjusts for local cost-of-living differences.
3. **90-Day Balance Trend:** Rewards consistent, healthy account management.
4. **Daily Transaction Velocity:** Reflects your active participation in the real economy.

What prevents someone from maxing out their credit and abusing the system?

Your 90-day balance trend is the most sensitive lever in your PCL calculation. If you max out your credit line to buy luxury assets (like three homes) and your balance trend drops, your PCL will automatically shrink.

If your negative balance drops below your new, lower PCL limit, **your account spending is instantly frozen**. You keep full ownership of your assets (no foreclosures or repo men), but you cannot spend a single Deltar until your daily UBI dividend and income restore your balance above your credit floor. Short-term credit abuse paralyzes your daily liquidity.

3. Business Funding & Social Credit (SCL)

How do businesses get funding without investors or bank loans?

Businesses do not receive a daily UBI dividend or an automated credit limit. Instead, they raise **Social Credit Limit (SCL)** donations from everyday citizens. Citizens accumulate unspent SCL daily based on their personal credit status which they can only give to local enterprises, raising the business's zero-interest overdraft ceiling.

What stops a wealthy donor from controlling a business through massive credit gifts?

All SCL crowdfunding campaigns enforce two strict rules:

- **25-Donor Minimum:** A campaign requires at least 25 distinct human supporters to be valid.
- **4x Anti-Whale Rule:** The largest single SCL donation in a campaign cannot exceed 4 times the smallest donation.

Even a billionaire cannot dominate a business's credit line—enterprise funding requires genuine community consensus.

Why do businesses need to run quarterly crowdfunding campaigns?

All donated SCL decays by **25% every 3 months** (100% annual expiration). This forces businesses to continuously deliver real value, quality goods, and trust. This allows them to earn renewed SCL from the community and maintain the credit they still need.

4. Safety Nets, Governance & The Fee Pool

How are UBI, healthcare, and public services funded without income taxes?

A single, microscopic **1.4% average fee** is collected across all daily transaction velocity. This single fee replaces income tax, sales tax, corporate tax, credit card swipe fees, and government debt.

Every midnight, 100% of collected fees are split into three pools:

- **75% UBI Dividend Pool:** Distributed equally to all human accounts as a daily cash living floor.
- **20% Social Pool:** Funds community grants and universal insurance for all needs.
- **5% Government Pool:** Direct-allocated by citizens to fund public administration, regulation, and enforcement.

Who approves healthcare claims and community grants?

Claims are reviewed on a private platform by a randomly selected, volunteer jury of everyday peers serving a single shift. Once a claim is approved by consensus, automated payments begin immediately to keep velocity moving.

How do the 75 / 20 / 5 pool percentages change?

Members can adjust their desired pool split daily after seeing the Social jury's recommendations. These votes are averaged from all members to nudge daily changes. To prevent economic shocks, votes can only shift pool allocations by a maximum rate of **0.001% per day**. A complete 1% shift requires 1,000 days of unanimous global consensus.

5. Real-World Applications & Housing

How does housing work under IOUBI?

Regardless of your balance, earning excess above your spending raises your balance each day. This increases your overdraft credit limit. You can also top off the limit if others gift you some of their PCL. To buy large items like a home, just keep that limit larger than your negative balance as you repay it. Of note is that accounts that maintain a positive balance never use their PCL, making it free to give to others. Because corporate landlords and institutional investors must extract profit and pay interest, they cannot compete with zero-interest homeownership. Housing shifts from a speculative financial asset back to something used by its owner.

What happens when AI and automation eliminate traditional jobs?

The dividend always trends eventually toward matching the income shortfall across the whole system. If its members choose to work enough to pay all of their normal expenses, they will not create excess money by overdrafting. In that case, the dividend remains low. If they choose to work 50% as much, either voluntarily or through unemployment, the dividend gradually rises because more overdrafting increases the money supply.

Under IOUBI, automation is a blessing, not a threat. As AI drives production costs toward zero, goods become cheaper because of pure prices and competition. As money supply & velocity increases, the transaction fee continues rising toward fully funding the cost of living, at any level it settles to. Money ceases to be a scarce survival token and becomes like **rainwater in a garden** - an abundant tool used simply to connect human demand with automated abundance.

6. Pricing Stability & PEG Isolation

Can crypto whales or speculators pump and dump the value of IOUBI?

No. Pump-and-dump schemes only work on assets with an artificially fixed supply traded on speculative order books. IOUBI is a decentralized mutual-credit ledger where currency is created elastically at the moment of trade through Personal Credit Limits (PCL) & Social Credit Limits (SCL) and cleared upon settlement. Because there is no scarce token bottleneck to corner, a speculator cannot starve the community of liquidity or bid up the price of internal trade. The money supply expands and contracts automatically with real human productivity, isolated from all changes in the global supply.

Can hedge funds short-sell IOUBI to drive its value to zero?

No. Short-selling requires borrowing an asset from a broker or lending desk, dumping it on the market, and buying it back later at a lower price. IOUBI has no margin desks, no rehypothecation, and no interest-bearing lending pools. Credit is issued strictly as a non-transferable internal credit limit tied to verified human average cost of living and it originates from each person's desire to give out their IOU. Because nobody can borrow your credit line or idle Deltars to execute a margin trade, short attacks are physically and mathematically impossible on this ledger.

What happens if an attacker dumps a massive balance of Deltars on an outside exchange?

The attack triggers an instant, self-healing arbitrage loop that weaponizes the attacker's own money against them.

In traditional financial markets, arbitrage enriches predatory lenders and high-frequency traders at the expense of real workers. Under IOUBI, that dynamic is completely inverted:

If a speculator dumps Deltars on an outside exchange at 40 cents on the dollar to induce panic, workers carrying negative balances (such as a local machine shop that drew down credit to purchase tooling) will immediately scoop up those discounted Deltars on the open market and retire their equipment debt at a 60% discount. Local merchants and workers quickly absorb the rest to purchase raw materials, food, and real labor at a bargain.

Instead of collapsing the system, the dump functions as a massive, non-refundable cash subsidy paid by the attacker directly to the targeted members in the physical goods economy. The speculator loses real capital, while the working community uses the attacker's lost funds to wipe out debt and acquire physical assets.

Why don't internal prices swing wildly when outside crypto markets or fiat currencies fluctuate?

Because internal prices are anchored to human labor time (The Time Standard: 20 Deltars/hour), not to speculative exchange tickers. If the US Dollar or Bitcoin swings in value in London or Tokyo, a local carton of eggs, an hour of CNC machining, or a haircut inside the network does not change price every five seconds. The cost to produce real physical goods remains stable because the underlying tools, materials, and labor are settled outside the speculative debt-interest matrix.

In summary, people set their price of overdrafting their own account independently of outside changes and the system averages those numbers across the globe. This is the reverse of how other currencies are priced.